LUMENTUM HOLDINGS, INC. (LITE)

Structural Winner; Initiate at Outperform

July 7, 2025

Rating: Outperform
Price: $92.75
Price Target: $120
% Upside: 29.4%

View LITE Model
View Comp Table

The Wolfe Byte

We're initiating coverage of Lumentum at Outperform. We believe the company benefits from AI-driven traffic growth, Indium Phosphide technology trends, and market consolidation. In our view, 16x CY'26 EPS is too cheap for 25%+ growth with margin expansion in coming years.

Structural Long-Term Winner in a Growing and Attractive End Market... The Western optical components and subsystems market has consolidated around Lumentum and Coherent. Both benefit from scale, vertical integration, and rising R&D intensity/barriers-to-entry. Moreover, we believe Lumentum will benefit from AI-driven traffic growth and their Indium Phosphide technology as DCI speeds/distances increase. Lastly, customers are increasingly looking for US-based component suppliers on geopolitical concerns.

The Cloud Provider Transceiver Business is Just Getting Going... Google has been mixed for Lumentum. More recently, the company stumbled and had to re-qualify a new transceiver design for the Cloud Provider. Separately, Lumentum began shipping an 800G EML-based transceiver design with a second major Cloud provider (expected to ramp in June Q) and a 400G product with their third Cloud customer (who is expected to ramp with a new 800G transceiver design in 2H'25 and into 2026). Altogether, they're shipping to Google, Meta, and Microsoft – nowhere near full volume potential. We expect they'll win additional customers.

Telecom Business Inflecting... We expect Lumentum's Telecom business to inflect more significantly going forward. AI Clusters are getting so large that they can't be built in a single location due to space and power constraints. Hence, Optical Networking gear is being used to stitch together clusters connected in disparate pieces over longer distances. Further, the market has yet to really evolve around Inferencing applications – great for Lumentum.

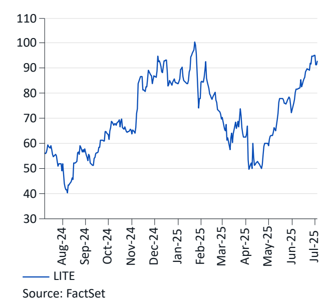
Model Upside... We're modeling the business to exit CY'26 at ~$650M/quarter in sales and Operating margins around 20/25% (versus $425M and 11% in the recent March quarter, respectively). It's a big jump, but we believe there's positives in growth with the Cloud Providers, the Datacom chip business, DCI, and OCS. Lastly, the business should drive strong profitability on scale and in-sourced manufacturing.

REVENUES (MM) ($)	Q1	Q2	Q3	Q4	FY	DECEMBER FYE
2025E	337 A	402 A	425 A	475 E	1,639 E	
Cons.	337 A	402 A	425 A	465 E	1,626 E	
2026E	506 E	550 E	564 E	595 E	2,215 E	
Cons.	495 E	524 E	546 E	577 E	2,143 E	

Source: Company Documents, Wolfe Research, FactSet
Numbers may not add up due to rounding

Company Information

52-Week Range	$40 - $100
Market Cap. (MM)	$6,437
Enterprise Value (MM)	$8,171
Shares Out. (MM)	69.4
Avg. Value Traded (MM)	$94.61
Adj. Debt to Cap	28.1%
SI% of Float	16.7%
FCF Yield	18.0%
EV/ EBITDA	17.7x
Price to Earnings	17x



Priced as of 07/03/25

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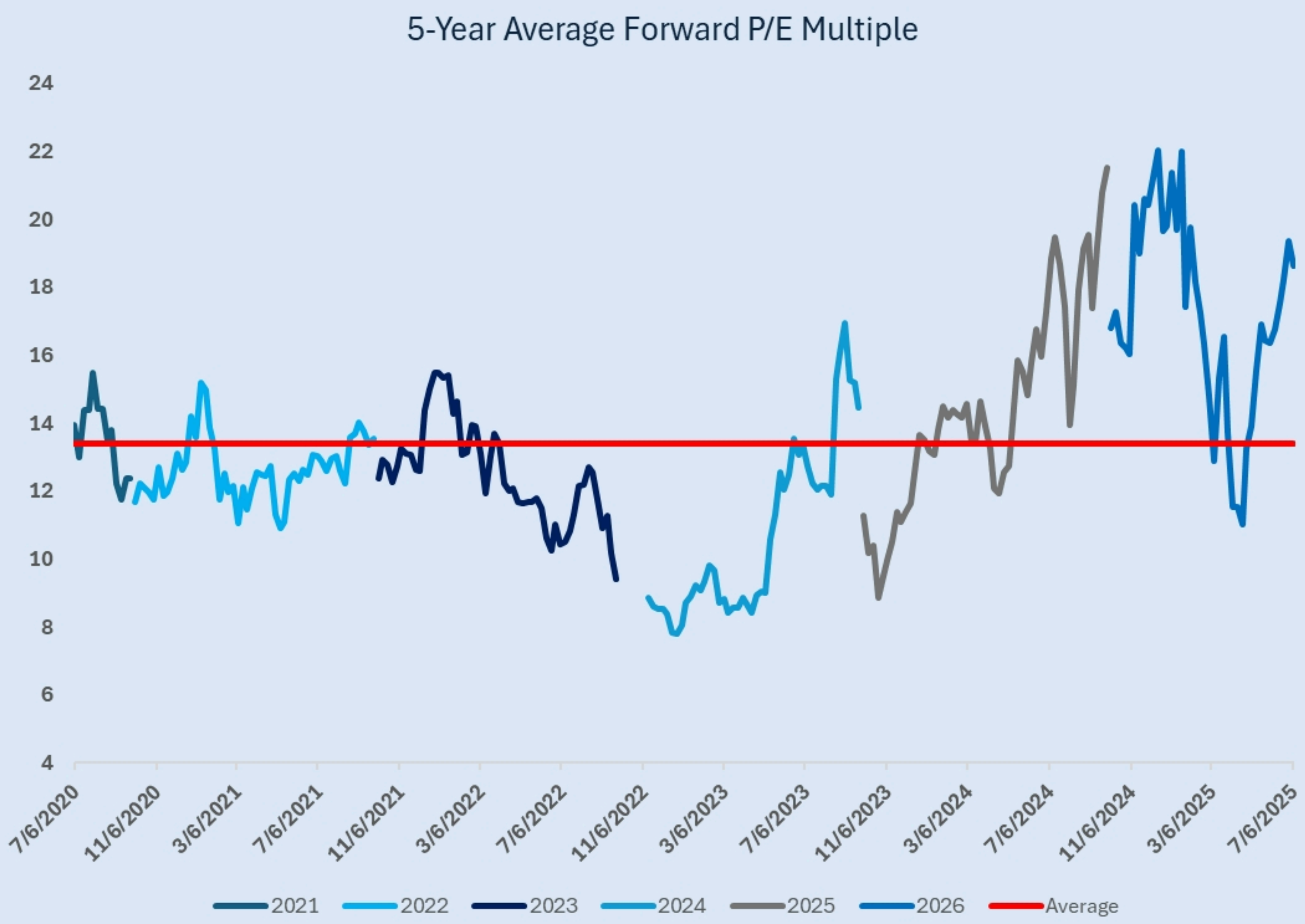
Investment Conclusion

Structural drivers include: 1) the emergence of AI drives huge optical traffic growth across the industry; 2) Indium Phosphide technology becomes more important as Data Center interconnect speed increases and distances expand; and 3) the market coalesces around Western vendors that have scale and vertical integration. Longer term, the transition from copper to optical interconnect within servers offers another free option for investors (as does their OCS product cycle). In our view, 16x CY'26 EPS is too cheap for a business growing 25%+ with margin expansion over the next several years.



Where Could We Be Wrong?

The 5-year average, forward-year, PE multiple for Lumentum is 14x. One concern is that potential multiple expansion is limited as the company – at times – has struggled with lumpy customer spending patterns and execution.

Investment Positives:

Structural Long-Term Winner in a Growing and Attractive End Market… The Western optical components and subsystems market – over time – has consolidated around two players, Lumentum and Coherent. Both companies benefit from scale and vertical integration. Further, the R&D intensity and barriers-to-entry across the industry have increased – a by-product of the pace and complexity of new innovation driven by the Cloud Providers (and AI). Moreover, we believe the market is coming to Lumentum in many respects. The emergence of AI as a traffic growth driver across the industry is great for them. The company's optical component and transceiver solutions position them to fully participate in this growth. Also, Lumentum's Indium Phosphide technology will become more and more important as Data Center interconnect speeds increase and distances expand. Lastly, customers are increasingly looking for US-based component suppliers as geopolitical concerns and tariffs apply pressure to Asian competitors.

The Cloud Provider Transceiver Business is Just Getting Going… Google – their first customer that came with the Cloud Light acquisition – has been mixed for Lumentum. More recently, Lumentum stumbled with the Cloud Operator. They had to re-qualify a new transceiver design for Google. We understand that process is now complete, and the business should accelerate from current levels. Separately, they began shipping an 800G EML-based transceiver design with a second major Cloud provider customer. That business is expected to ramp in the June quarter. Elsewhere, their third Cloud customer began buying a 400G transceiver product in the December and March quarters. They expect a more significant ramp in 2H'25 and into 2026 with a new 800G transceiver design for that customer. Altogether, they're shipping to Google, Meta, and Microsoft – with each customer yet to scale to achieve anywhere near their volume potential (even if Lumentum is slotted as a 3rd or 4th source with these customers). Lastly, we expect they'll win additional customers beyond these major Cloud Operators.

Telecom Business Inflecting… We expect Lumentum's Telecom business to inflect more significantly going forward. AI Clusters are getting so large that they can't be built in a single location due to space and power constraints. Hence, Optical Networking gear is being used to stitch together clusters connected in disparate pieces over longer distances. That application is called DCI, or Data Center Interconnect. Lumentum participates significantly in that market with sales of narrow linewidth tunable lasers and pump lasers sold into ZR/ZR+ optical modules. Further, the market has yet to really evolve around Inferencing applications. That will drive lots of additional traffic in metro-area networks – great for Lumentum's Telecom business.

New Focus on Profitability… New CEO Michael Hurlston made recent comments about monetizing Lumentum's technology more aggressively with customers – a view echoed by Coherent's CEO Jim Anderson. While we're realistic about the size of any potential pricing benefits, a more benign competitive environment would be good for Lumentum. Similarly, we note that Hurlston is also looking to make some portfolio adjustments in the business. We presume he's focusing on the company's Industrial Tech segment which may have some dilutive product lines.

Model Upside… We're modeling the business to exit calendar 2026 at roughly $650M/quarter in sales and Operating margins around 20/25% (versus $425M and 11% in the recent March quarter, respectively). It's a big jump, but we think it's quite reasonable. Each of their new Cloud provider transceiver customers (Microsoft and Meta) has the potential to each generate $100M/quarter in incremental sales. Elsewhere, we expect significant growth in the Datacom chip business as well as the DCI portion of the Telecom business. Any progress with their new Optical Switch (OCS) product would be incremental. Lastly, the business should drive strong profitability as they get additional scale and more of the business is manufactured internally (where they have significant operating leverage).

Free Option: Lumentum INSIDE the Server Rack… We expect that – as interconnect speeds continue to increase within GPU Server nodes – optical technology will replace copper interconnect over time. It may take several years for the industry to make that transition. Nonetheless, it's a sizable (and brand new) TAM for Lumentum.

Investment Concerns:

The Technology Hamster-Wheel... The unfortunate thing about this space is that optical component supplier revenue growth isn't aligned with bandwidth growth – it's much lower. Network bandwidth growth over the past decade has been 30-40%, yet the overall market for Optical Networking (and optical components) has grown ~3-4%. Vendors are riding down the technology curve to give customers 30-40% more capacity each year for roughly the same capital expenditure. Deflationary technology trends – while they're essential to the market – may limit Lumentum (and other vendors') ability to grow. Mitigating this risk, the emergence of AI promises to drive significant upward inflection in data growth rates across the whole ecosystem.

Potential for Excess Inventory Build Among Cloud Providers Customers... Cloud Providers are playing a very high stakes game for AI superiority. In an environment where optical component demand has been running ahead of supply (and new supply is coming online), it's possible for customers to build an excess inventory. Lumentum – historically – has seen customers behave this way for many years across many different product lines.

Execution... The company – from time to time – has struggled with execution issues. The recent transceiver re-qualification at Google offers a recent example.

Valuation + Multiple Expansion... The 5-year average, forward-year, PE multiple for Lumentum is 14x. One concern is that potential multiple expansion is limited as the company – at times – has struggled with lumpy customer spending patterns and inventory corrections.

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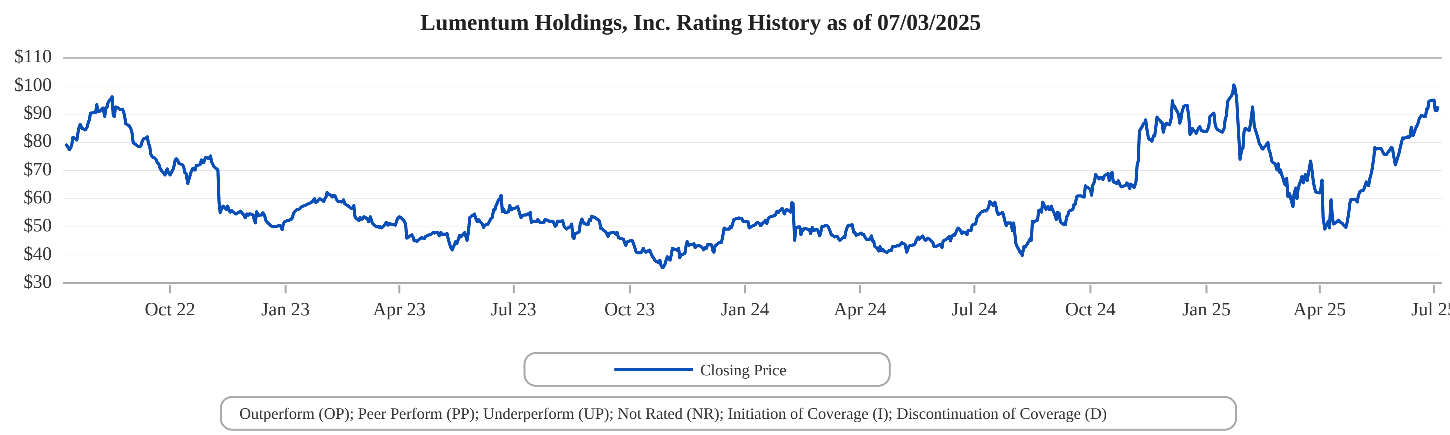
Price Chart(s) with Ratings and Target Price History



Wolfe Research, LLC Fundamental Valuation Methodology:

Company:	Fundamental Valuation Methodology:
Lumentum Holdings, Inc.	Lumentum currently trades at 16x our CY'2026 EPS projection of $5.70/share. Our PT is $120/share based on a 21.1x multiple.

Wolfe Research, LLC Fundamental Recommendation, Rating and Target Price Risks:

Company:	Risks That May Impede Achievement of the Recommendation, Rating or Target Price:
Lumentum Holdings, Inc.	Downside Risks: 1) deflationary technology trends that limit upside in the business; potential for future inventory corrections; and 3) investor willingness to pay higher multiple for the business.

Wolfe Research, LLC Research Disclosures:

Company:	Research Disclosures:
Lumentum Holdings, Inc.	None

Other Disclosures:

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Peer Perform:	44%	2% Investment Banking Clients within the previous 12 months
Underperform:	6%	2% Investment Banking Clients within the previous 12 months

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